



This contract is intended to be a binding Real Estate contract. This contract is not a government-specified form. The Brokerage and Buyer may negotiate any of the terms of this contract before signing. The amount and how Brokerage commissions are formulated are not set by law and are fully negotiable prior to execution of this contract.

1. **PARTIES.** This Non-Exclusive Buyer-Broker Representation Agreement ("**Agreement**") is entered into by and between _____ ("**Brokerage**") and _____ ("**Buyer**"). Brokerage agrees to appoint a licensee sponsored by Brokerage to act as the Buyer's designated agent ("**Buyer's Designated Agent**"), as set forth in paragraph 3, for the purpose of assisting Buyer in identifying and negotiating the acquisition of real estate ("**Property**"), and in, and only in, the following location(s): *[region, address, city, neighborhood, and/or county]* _____ ("**Location**"). The terms "acquire" or "acquisition" shall mean the lease, purchase, exchange, or contract for the option to purchase Property by Buyer or anyone acting on Buyer's behalf.
2. **NON-EXCLUSIVE RIGHT.** Both Brokerage and Buyer acknowledge that Brokerage's right to represent Buyer in the acquisition of Property in the Location is not exclusive ("**Non-Exclusive Right**"), and Buyer may have entered, and may enter into, other non-exclusive agreements with other real estate brokerages to represent Buyer in the acquisition of Property in the Location. Buyer represents and warrants that it has not entered into, and will not enter into during the Term (as defined below), any *exclusive* representation agreements with another real estate brokerage to represent Buyer in the acquisition of Property in the Location.
3. **BUYER'S DESIGNATED AGENT.** Brokerage designates and Buyer accepts _____ ("**Buyer's Designated Agent**"), a sponsored licensee of Brokerage, as Buyer's Designated Agent under this Agreement with Brokerage. Buyer understands and agrees that neither Brokerage nor any other sponsored licensees of Brokerage will be acting as agent for Buyer. Brokerage shall have the discretion to appoint a substitute designated agent for Buyer as Brokerage determines necessary, and Buyer shall be advised within a reasonable time of any such substitution. Buyer understands and agrees that Brokerage and any of Brokerage's other sponsored licensees may enter into agreements with other prospective purchasers, sellers, landlords, and buyers of property as agents of those purchasers, sellers, landlords, and buyers.
4. **TERM.** Brokerage's Non-Exclusive Right under this Agreement shall begin on _____, 20____, ("**Effective Date**") and shall extend until 11:59 P.M. on _____, 20____, ("**Term**") at which time this Agreement shall automatically terminate ("**Termination Date**"). Notwithstanding anything in this paragraph to the contrary, in the event that the Termination Date is more than one year from the Effective Date, Buyer may terminate this Agreement on 11:59 p.m. on the date that is one year after the Effective Date (deemed the "**Termination Date**" if applicable) by providing 30 days prior written notice to Brokerage.
5. **BUYER'S DESIGNATED AGENT'S DUTIES.** Buyer's Designated Agent shall:
- a) use best efforts to identify Properties available for acquisition in the Location that meet Buyer's specifications relating to location, price, features, and amenities;
 - b) arrange, to the extent available, inspections of Properties identified by Buyer as potentially appropriate for acquisition;
 - c) advise Buyer as to the pricing of comparable properties;
 - d) assist Buyer in negotiating a contract acceptable to Buyer for the acquisition of property;
 - e) safeguard and protect any confidential or proprietary information that Buyer discloses to Buyer's Designated Agent unless disclosure of such information is required by law;
 - f) disclose to Buyer any information known to Buyer's Designated Agent that would materially affect Buyer's decision to acquire the Property.
 - g) Other: _____
6. **LIMITATIONS ON BUYER'S DESIGNATED AGENT'S DUTIES.** Buyer acknowledges and agrees that Buyer's Designated Agent:
- a) may enter into exclusive or non-exclusive agreements with other buyers of property and may show the same or similar Properties in which Buyer is interested to other prospective buyers that Buyer's Designated Agent represents. In the

event Buyer's Designated Agent has reason to believe that more than one buyer will be making or are preparing to make contemporaneous offers to purchase the same Property, then a disclosure shall be presented.

- b) is not an expert with regard to matters which could have been revealed through a survey, title search or inspection of the Property; the condition of Property or items within the Property; building products and construction techniques; the necessity or cost of any repairs to the Property; hazardous or toxic materials; termites and other wood destroying organisms; the tax and legal consequences of any acquisition; the availability and cost of utilities and community amenities; appraised or future value of the Property (or matters relating to financing for which Buyer is hereby advised to seek independent expert advice); and conditions off the Property which may affect the Property;
- c) is not responsible for the accuracy of room dimensions, lot size, square feet, variances, zoning or use restrictions which may or may not be reflected in the Multiple Listing Service ("**MLS**") or other sources;
- d) shall owe no duties to Buyer nor have any authority on behalf of Buyer other than what is set forth in this Agreement;
- e) may make disclosures as required by law;
- f) may show Buyer Property which is listed in the MLS or on other websites or databases by Brokerage or the Buyer's Designated Agent; and
- g) DUE TO THE LARGE NUMBER OF PLACES WHERE PROPERTIES MAY BE ADVERTISED, IS NOT OBLIGATED TO SHOW ANY PARTICULAR PROPERTY THAT IS AVAILABLE TO ACQUIRE, UNLESS BUYER REQUESTS BROKERGAGE TO DO SO IN WRITING, AND THE PROPERTY IS AVAILABLE FOR SHOWING BY BUYER'S DESIGNATED AGENT.
- h) Other: _____

7. **BUYER'S DUTIES.** Buyer shall:

- a) comply with reasonable requests of Buyer's Designated Agent to supply relevant financial information that may be necessary to permit Buyer's Designated Agent to fulfill its obligations under this Agreement;
- b) be available upon reasonable notice and at reasonable hours to inspect Properties that are potentially appropriate for acquisition by Buyer;
- c) identify to Buyer's Designated Agent those specific Properties that Buyer desires to view, including on and off market properties, for sale by owner properties, and new construction;
- d) conduct all negotiations through Buyer's Designated Agent or Buyer's attorney;
- e) otherwise cooperate with Buyer's Designated Agent in its efforts to fulfill its obligations under this Agreement; and
- f) pay Brokerage, or cause Seller's brokerage or Seller to pay Brokerage, compensation pursuant to the terms of Paragraph 10 of this Agreement.
- g) Other: _____

8. **FAIR HOUSING AND NONDISCRIMINATION. BROKERAGE, ITS AGENTS AND EMPLOYEES, INCLUDING BUYER'S DESIGNATED AGENT, SHALL NOT ACT IN ANY WAY TO INDUCE OR DISCOURAGE BUYER FROM ACQUIRING A PARTICULAR PROPERTY BASED ON THE RACE, COLOR, RELIGION, NATIONAL ORIGIN, SEX, ANCESTRY, AGE, MARITAL STATUS, PHYSICAL OR MENTAL HANDICAP OR FAMILIAL STATUS (OR ANY OTHER CLASS PROTECTED BY ARTICLE 3 OF THE ILLINOIS HUMAN RIGHTS ACT) OF THE SELLER AND/OR BUYER. THE PARTIES TO THIS AGREEMENT AGREE TO COMPLY WITH ALL APPLICABLE FEDERAL, STATE AND LOCAL FAIR HOUSING LAWS.**

Buyer's Initials _____ Buyer's Initials _____

9. **DISCLAIMER.** Buyer acknowledges and agrees that Brokerage and Buyer's Designated Agent are being retained solely as real estate professionals and NOT as attorneys, tax advisors, surveyors, structural engineers, home inspectors, environmental consultants, architects, contractors, or other professional service advisors. Buyer understands and agrees that such other professional service providers are available to render advice or services to Buyer, if desired, at Buyer's expense.

10. **COMPENSATION.** Buyer and Brokerage acknowledge that there are many ways in which compensation to Brokerage for Brokerage's services to Buyer under this Agreement can be structured, many of which are set forth below. Such options include Brokerage being paid from the listing brokerage under a cooperative brokerage arrangement, from the seller or landlord directly (collectively, "**Seller**"), or Brokerage being paid directly by Buyer.

Buyer and Brokerage have considered their options on how to structure Brokerage's payment for services carefully, and hereby agree that, for providing its services to Buyer pursuant to this Agreement, Brokerage shall be paid as checked below:

Commissions are not set by law and are fully negotiable. Brokerage may not receive compensation that exceeds the Brokerage Commission or Brokerage Fee (as defined below).

(Check one)

☐ A. **Percentage Commission.** Brokerage shall be paid a commission of _____% [percent] of the purchase price of the Property, which in no event shall be less than \$_____, which Buyer acquires during the Term of this Agreement ("**Brokerage Commission**"). The Buyer may choose to have the Brokerage Commission paid to Brokerage by the listing brokerage or Seller, and not directly from Buyer. However, in the event that the listing brokerage or Seller does not pay Brokerage the Brokerage Commission, or if the amount paid by listing brokerage or Seller is not at least equal to the Brokerage Commission, then Buyer shall pay Brokerage, at the time of acquisition, compensation equal to the Brokerage Commission, less any commission paid by listing brokerage or Seller.

☐ B. **Flat Rate.** Buyer shall pay Brokerage a flat rate of \$_____ ("**Brokerage Fee**"). The Buyer may choose to have the Brokerage Fee paid to Brokerage by the listing brokerage or Seller, and not directly from Buyer. However, in the event that the listing brokerage or Seller does not pay Brokerage the Brokerage Fee, or if the amount paid by listing brokerage or Seller is not at least equal to the Brokerage Fee, then Buyer shall pay Brokerage, at the time of acquisition, compensation equal to the Brokerage Fee, less any commission paid by listing brokerage or Seller.

☐ C. **Hourly Rate.** Buyer shall pay \$_____ per hour of Brokerage's time to provide services to Buyer ("**Hourly Rate**"). Time billed by Brokerage shall be measured in 15 minute increments and shall be billed for the following services:

Brokerage shall keep a log of time spent by Brokerage performing the services that are billed, which log will be provided to Buyer upon request. Brokerage shall submit an invoice to Buyer monthly and payments shall be due within 14 days, provided that amounts subject to charge at the Hourly Rate shall become immediately due at time of acquisition of Property and those amounts shall be paid by Buyer at closing.

☐ D. **Other** _____ ("**Other Compensation**")

The Brokerage Commission, Brokerage Fee, Hourly Rate, and Other Compensation, are referred to collectively as "**Brokerage Compensation**". Brokerage shall be entitled to the Brokerage Compensation pursuant to this Agreement upon the acquisition of Property prior to the Termination Date, which acquisition resulted from the service and/or effort of the Brokerage or Buyer's Designated Agent. If within 180 days following the Termination Date, Buyer acquires (or enters into agreement to acquire) any property to which Buyer was introduced by Buyer's Designated Agent, then Buyer agrees to pay Brokerage the Brokerage Compensation described above ("**Compensation Deadline**"), provided that for residential properties of 4 units or less, Buyer does not enter into a valid, written brokerage agreement with another sponsoring broker after the Termination Date. In no event shall Brokerage be obligated to advance funds to Buyer to facilitate the acquisition of Property.

In addition to the Brokerage Compensation set forth above, Buyer shall pay Brokerage a non-refundable retainer fee of \$_____ ("**Retainer**") which shall be due and payable to, and shall be considered earned by Brokerage upon signing this Agreement. Retainer (**choose one**) ☐ [shall] OR ☐ [shall not] be applied towards any Brokerage Compensation.

Buyer's obligations under this Paragraph 10 shall survive the termination of this Agreement.

Additional Compensation Terms:

_____.

11. **DUAL AGENCY.** By checking "Yes" and signing below, Buyer acknowledges and agrees that Buyer's Designated Agent ("**Licensee**") may undertake a dual representation (represent both seller and buyer or landlord and tenant, as the case may be) in connection with any acquisition of Property. Buyer acknowledges and agrees that Buyer has read the following prior to executing this Agreement:

Buyer Initials: _____ Buyer Initials: _____

Brokerage Initials: _____

Representing more than one party to a transaction presents a conflict of interest since both parties may rely upon the Licensee's advice and the parties' respective interests may be adverse to each other. The Licensee will undertake the representation of more than one party to a transaction only with the written consent of **ALL** parties to the transaction. Any parties who consent to dual representation expressly agree that any agreement between the parties as to any terms of the contract, including the final contract price, results from each party negotiating on its own behalf and in its own best interest. Buyer acknowledges and agrees that (a) Brokerage has explained the implications of dual representation, including the risks involved, and (b) Buyer has been advised to seek independent counsel from its advisors and/or attorneys prior to executing this Agreement or any documents in connection with this Agreement.

WHAT A LICENSEE CAN DO FOR CLIENTS WHEN ACTING AS A DUAL AGENT:

1. Treat all clients honestly.
2. Provide information about the property to the purchaser or tenant.
3. Disclose all latent material defects in the property that are known to the Licensee.
4. Disclose the financial qualification of Buyer to the seller or landlord.
5. Explain real estate terms.
6. Help the Buyer arrange for property inspections.
7. Explain closing costs and procedures.
8. Help the Buyer compare financing alternatives.
9. Provide information to seller or Buyer about comparable properties that have sold so both clients may make educated decisions on what price to accept or offer.

WHAT A LICENSEE CANNOT DO FOR CLIENTS WHEN ACTING AS A DUAL AGENT:

1. Disclose confidential information that the Licensee may know about either client without that client's express consent.
2. Disclose the price the seller or landlord will take other than the listing price without the express consent of the seller or landlord.
3. Disclose the price the purchaser or tenant is willing to pay without the express consent of the purchaser or tenant.
4. Recommend or suggest a price the Buyer should offer.
5. Recommend or suggest a price the seller or landlord should counter with or accept.

Buyer acknowledges having read these provisions regarding the issue of dual representation. Buyer is not required to accept this Paragraph 11 unless Buyer wants to allow the Licensee to proceed as a dual agent ("**Dual Agent**") in this transaction. By checking "Yes", signing below, and signing this Agreement, Buyer acknowledges that it has read and understands this Paragraph 11 and voluntarily consents to the Licensee acting as a Dual Agent (that is, to represent **BOTH** the seller and purchaser or landlord and tenant, as the case may be) should it become necessary.

Buyer must select one option below:

- ☐ **Yes, I have read the above information and provide my Prior Consent to Dual Agency**
- ☐ **No, I do not consent to Dual Agency**

Buyer Signature: _____ **Buyer Signature:** _____

12. TERMINATION OF AGREEMENT.

- A. **Termination by Mutual Agreement.** The parties may mutually agree to terminate this Agreement at any time, provided that Buyer shall pay to Brokerage any amounts agreed to by the parties to terminate the Agreement, if any, prior to, and as a condition of, the termination of this Agreement being deemed effective..
- B. **Termination by Buyer.** Buyer shall have the right to terminate this Agreement at any time and for any reason by providing notice to Brokerage. In the event that Buyer terminates this Agreement pursuant to this subsection for any reason other than a breach of this Agreement by Brokerage or pursuant to Paragraph 4 regarding a Term greater than one year, then Buyer shall pay to Brokerage, prior to and as a condition of the termination of this Agreement being deemed effective, the greater of (i) any amounts owed pursuant to Paragraph 10 of this Agreement or (ii) the sum of \$_____, which fee shall compensate Brokerage for its services prior to termination, plus Brokerage's reasonable expenses to perform its duties under this Agreement. Buyer's obligations under this subsection shall survive the termination of this Agreement.
- C. **Termination by Brokerage.** Brokerage shall have the right to terminate this Agreement at any time and for any reason by providing notice to Buyer. In the event that Brokerage terminates this Agreement pursuant to this subsection for any reason other than a breach of this Agreement by Buyer, Brokerage shall not be entitled to fees or reimbursement of Brokerage's costs except for any unpaid Hourly Rate amounts, if applicable. In the event that Brokerage terminates this Agreement due to Buyer's breach of this Agreement, Buyer and Brokerage agree that calculating Brokerage's actual damages may be

difficult; therefore, Buyer shall pay to Brokerage, within 5 business days of termination, the Brokerage Commission as defined in Paragraph 10 based on the purchase price in the contract, the Brokerage Fee, or accrued Hourly Rate as liquidated damages and to compensate Brokerage for Brokerage's time, expenses, and services involved in performing its duties under this Agreement.

13. **DISPUTE RESOLUTION.** The parties agree that any dispute, controversy or claim arising out of or relating to this Agreement, or any breach of this Agreement by either party, or Brokerage's relationship with Buyer pursuant to this Agreement shall be resolved only by arbitration in accordance with the Code of Ethics and Arbitration Manual of the National Association of REALTORS®, as amended from time to time, through the facility of the Chicago Association of REALTORS®. The parties agree to be bound by any award rendered by any professional standards arbitration hearing panel of the Chicago Association of REALTORS® and further agree that judgment upon any award rendered by a professional standards arbitration hearing panel of the Chicago Association of REALTORS® may be entered in any court having jurisdiction. The parties agree to execute any arbitration agreements, consents and documents as may be required by the Chicago Association of REALTORS® to facilitate any arbitration. BUYER HEREBY WAIVES WITH RESPECT TO ANY DISPUTE WITH BROKERAGE THE RIGHT TO PARTICIPATE IN A CLASS ACTION OR OTHER REPRESENTATIVE ACTION IN COURT, EITHER AS A CLASS REPRESENTATIVE OR CLASS MEMBER OR THE RIGHT TO JOIN OR CONSOLIDATE CLAIMS WITH OTHER INDIVIDUALS.

14. **MISCELLANEOUS PROVISIONS.**

- A. Amendments. No amendment or alteration of this Agreement shall be valid or binding unless made in writing and signed by the Brokerage and Buyer.
- B. Successors and Assigns. This Agreement shall be binding upon and inure to the benefit of the heirs, executors, administrators, successors and assigns of the parties.
- C. Business Days are defined as Monday through Friday, excluding Federal holidays. Business Hours are defined as 8:00 A.M. to 6:00 P.M. Chicago Time.
- D. Buyer hereby agrees to indemnify and hold Brokerage and Buyer's Designated Agent harmless from and against any and all claims, disputes, litigation, judgments, costs, and legal fees arising from (i) misrepresentations by Buyer or other incorrect or incomplete information supplied by Buyer; (ii) money handled by anyone other than Brokerage; (iii) injuries to persons on the Property and/or loss or damage to a Property or any portions of the Property; and (iv) any claims relating to allegations arising out of Buyer entering into another representation agreement.
- E. Neither Brokerage nor Buyer's Designated Agent shall, under any circumstances, have any liability pursuant to this Agreement which is greater than the amount of the Brokerage Compensation paid to Brokerage by Buyer or seller's listing brokerage or seller, as the case may be (and excluding any commission amount retained by the listing brokerage, if any).
- F. Buyer shall comply with the Real Estate Settlement Procedures Act of 1974, as amended ("**Act**"), if applicable, and furnish all information required for compliance with the Act.

--[SIGNATURE PAGE FOLLOWS]--

208 **BUYER:**
209 Buyer's Signature: _____
210 Buyer's Signature: _____
211 Date: _____
212
213 Name(s) that Buyer intends to take Title as:
214 _____
215 _____
216
217 Buyer's Name (print): _____
218 Buyer's Name (print): _____
219 Address: _____
220 City: _____ State: _____ Zip: _____
221 _____ Phone #: _____
222 _____ Phone #: _____
223 _____ Phone #: _____
224 _____ Phone #: _____
225 Email Address 1: _____
226 Email Address 2: _____

BROKERAGE:
Designated Managing Broker Name: _____
Signature: _____
Date: _____

Brokerage Name: _____
Address: _____
City: _____ State: _____ Zip: _____
Office Phone: _____ Fax: _____
Office MLS ID: _____

Designated Agent Name (print) _____
Designated Agent MLS ID: _____
Agent Phone 1: _____
Agent Phone 2: _____
Agent Fax: _____
Agent Email: _____